

ECONOMY — Inflation, Unemployment & Welfare Schemes

Batch 4 of 10 · Sources: Parmar Ch.5 (Inflation and Unemployment) + Lucent §7 (Unemployment and Employment Programmes/Schemes) · PYQ buckets "07 Inflation" (7 Qs) + "08 Poverty & Unemployment" (5 Qs) + scheme PYQs cross-referenced from bucket "16 Schemes/Missions" · ★ = tested in a real past SSC paper

1 Inflation Basics

Inflation = sustained rise in general price level → purchasing power falls. During inflation, the **debtor/borrower benefits** over the lender (repays with money worth less) ★ — when the price level rises, the **value of money falls** ★ (a directly tested macro-concept statement). Real Interest Rate = Nominal Interest Rate – Inflation.

HOOK **Fisher's Quantity Theory** (Irving Fisher, also gave "Money Illusion"): **MV = PT** — M=Money Supply, V=Velocity, P=Price Level, T=Transactions. ↑ M → ↑ P (assuming V,T constant) → inflation, purchasing power ↓.

Type	Range
Creeping	3-4%
Walking	4-10%
Running	10-20%
Galloping	20-100%
Hyperinflation	>100%

Demand-Pull Inflation ★	Cost-Push Inflation
Caused by ↑ demand (strong growth, ↑ govt spending, ↑ exports); "too much money chasing too few goods" ★ — govt ↑ spending/↓ taxes → ↑ aggregate demand → firms can't scale production fast enough → shortage → prices rise ★	Caused by ↑ production costs (wages, raw materials, indirect taxes); supply-side, can be long-term

TRAP **Stagflation** ★ = high inflation + stagnant/falling growth + high unemployment simultaneously — a "lethal combination," makes anti-inflation policy risky (raises unemployment further) ★. NOT the same as Recession, Hyperinflation, or Deflation (tested distractors).

2 Measuring Inflation

Index	Measures	Published by	Base Year
WPI	Wholesale-level prices, before reaching consumers	Office of Economic Adviser, Ministry of Commerce & Industry (monthly, 14th)	2022-23 (was 2011-12)
CPI ★	Retail/consumer-level prices — most accurate to gauge inflation's impact on the common man ★	NSO, MoSPI (monthly, ~12th)	2023-24 / 2024 (internal inconsistency in source)
PPI	Seller's-perspective price changes at the "factory gate", before tax/distribution — a leading indicator	—	—

WPI weights: Manufactured goods 64.2%, Primary articles 22.6%, Fuel & power 13.15%. CPI weights: Food & Beverages 45.8% (highest), Housing 10%, Fuel & power 6.8%. **MPFA (Feb 2015)**, GoI-RBI agreement: RBI to maintain CPI inflation at **(4±2)%**. **Core Inflation** = headline inflation excluding food & energy.

HOOK Decline in **core inflation globally in 2024** ★ mainly due to a **drop in international commodity prices** ★ (energy/metals/agri-input costs fell, easing "imported inflation") — not export-demand or fiscal-deficit factors.

HOOK **Abhijit Sen Committee** ★ reviewed/reformed the **WPI** base year and methodology; report submitted in **2008** ★, recommended base-year shift from 1993-94 to 2004-05.

TRAP **Disinflation** = inflation rate *falling* but prices still rising (e.g. 10%→8%→7%→5%) — NOT the same as **Deflation** (an actual fall in the price level, purchasing power rises). **Phillips Curve** = inverse unemployment-inflation relationship (high inflation ↔ low unemployment and vice versa).

3 Fiscal/Monetary Response to Recession & Inflation

HOOK **Keynesian prescription for a recession** ★ (tested repeatedly across shifts): **increase government spending, cut taxes** ★ — "expansionary fiscal policy," stimulates aggregate demand to compensate for weak private investment. NOT raise interest rates, promote imports, or reduce spending.

4 Unemployment — Measurement (NSSO/NSO methods)

Approach	Reference period	Note
Usual Status (US)	Last 365 days	Long-term unemployment; Principal Status (PS) + Subsidiary Status (SS, ≥30 days additional work)
Current Weekly Status (CWS)	Last 1 week	≥1 hr work on any day → employed
Current Daily Status (CDS)	Per day	>4hrs=100% engaged, 1-4hrs=50%, <1hr=unemployed; measures <i>intensity</i> of unemployment

LFPR = % in labour force; **WPR** = % employed in population; **UR** = % unemployed among the labour force. **PLFS** (Periodic Labour Force Survey) ★ is released by the **NSO under MoSPI** ★ — since 2025, monthly bulletins too. It is distinct from the "Monthly Infrastructure Performance Review Report" (released by IPMD, MoSPI — a different, infrastructure-tracking report ★, a tested distractor pairing).

5 Types of Unemployment

Type	Meaning
Structural	Skill-job mismatch (e.g. automation replacing farm labour)
Educated	Degree-holders unable to find work; urban India
Frictional	Short-term, job-search/voluntary switching
Disguised	More workers than needed (removing some wouldn't cut output) — e.g. 5 family members farming land that needs 3
Cyclical	Business-cycle driven (e.g. Great Recession); urban
Seasonal	Specific times of year; rural (e.g. Diwali firework sellers)
Classical	Real wage too high → job seekers > openings
Natural	Lowest sustainable unemployment without triggering inflation

Old-Age/Elderly Dependency Ratio ★ = ratio of elderly (65+) to working-age population (15-64) — NOT children-to-working-age (that's Child Dependency Ratio, a tested distractor ★).

6 Migration & Destination-Region Challenges

HOOK Unskilled rural-to-urban migration ★ → migrant labourers forced into **low-wage informal-sector work** without social security → **exploitation of migrant labour + informal-sector growth** ★ = the tested "challenge for destination regions" (not increased per-capita income or reduced unemployment — tested distractors). **Push factors** (poverty, unemployment, war) force people out; **Pull factors** (jobs, opportunities) draw them in ★ — both operate together in real migration decisions.

7 Poverty Measurement

C. Rangarajan Committee ★ — constituted by the Planning Commission in **2012** ★ to review poverty-line methodology; submitted report 2014, revised the Tendulkar Committee's estimates, proposed monthly per-capita expenditure of ₹972 (rural)/₹1407 (urban) as the poverty line.

8 Employment & Welfare Schemes (Lucent §7 catalogue)

Scheme	Key facts
MGNREGA ★	Started as NREGA (Act passed 7 Sept 2005, in force 2 Feb 2006); renamed MGNREGA 2 Oct 2009 ★. Guarantees 100 days of unskilled manual wage employment/year to rural households ★ (work in casual manual labour at statutory minimum wage; work must start within 15 days, within 5 km; unemployment allowance if not provided). Centre bears 75%, States 25% of material/skilled-wage costs.
PM Jan Dhan Yojana (PMJDY) ★	Launched 28 Aug 2014 ★, financial-inclusion mission — zero-balance savings account ★ for every household, RuPay card with ₹1 lakh accident cover; implemented by Dept. of Financial Services, Ministry of Finance ★ (completed 10 yrs, Aug 2024).
Atal Pension Yojana (APY) ★	Launched 9 May 2015 (completed 10 yrs May 2025); for unorganised-sector workers ★, age 18-40 years ★ eligible, fixed monthly pension ₹1,000-5,000 from age 60.
Stand-Up India ★	Launched 5 April 2016 — promotes entrepreneurship among SC/ST and women ★; mandates every bank branch to lend ₹10 lakh–₹1 crore to ≥1 SC/ST borrower + ≥1 woman borrower for Greenfield enterprises.
PM Vishwakarma Scheme ★	Launched 17 Sept 2023 (Vishwakarma Jayanti); traditional artisans/craftspeople — ₹500/day stipend during training ★, toolkit e-voucher ₹15,000, collateral-free credit up to ₹1 lakh (then ₹2 lakh) at 5% concessional interest.
Pradhan Mantri Ujjwala Yojana (PMUY) ★	Launched 1 May 2016, Ballia (UP), by Ministry of Petroleum & Natural Gas — deposit-free LPG connections to women of BPL households ★; targeted 5 crore connections; Ujjwala 2.0 (2021) added 1 crore more.
DAY-NRLM ★	Launched June 2011 (as NRLM/erstwhile SGSY), Ministry of Rural Development — empowers rural women via Self-Help Groups (SHGs) ★, financial inclusion, skill development.
Beti Bachao Beti Padhao ★	Launched 22 Jan 2015, Panipat, Haryana — addresses declining child sex ratio , girl-child survival/education/protection ★ (not women's health insurance or marriage support — tested distractors).
Digital India ★	Launched 1 July 2015 ★ — theme "Power to Empower"; 3 pillars: digital infrastructure as a utility, governance/services on demand, digital empowerment of citizens.
MUDRA / PMMY	Launched 2015; collateral-free credit up to ₹10 lakh via SIDBI's MUDRA Ltd. 3 categories: Shishu (≤₹50,000), Kishore (₹50,000-5 lakh), Tarun (₹5-10 lakh).

DOUBT One PYQ (bucket 16 Q89 explanation) states MGNREGA was renamed "Viksit Bharat – Ram Ji" in Dec 2025 with guaranteed days raised to 125 — this postdates the raw extraction (which only knows the 2009 MGNREGA renaming and 100-day guarantee) and is not independently verified; flagged as an unconfirmed claim inside the PYQ book's own explanation text, not carried into the main body above.

Appendix

A.1 — PYQ citation index

Fact tested	Exam · Date · Shift
Stagflation = high inflation + stagnant growth	SSC Phase XIII, 02/08/2025 (Sh-02)
Abhijit Sen Committee, WPI reform, report 2008	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Govt ↑ spending/↓ taxes → demand-pull price rise	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
CPI = tracks basket-of-goods price changes	SSC Phase XIII, 26/07/2025 (Sh-02)
Inflation → value of money falls (macro concept)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Core inflation 2024 decline = commodity price drop	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Keynesian recession response = ↑ spend/↓ tax	SSC Stenographer, 06/08/2025 (Sh-03)
Rangarajan Committee constituted 2012	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Elderly Dependency Ratio definition	SSC Phase XIII, 30/07/2025 (Sh-02)
PLFS vs Infrastructure Review Report (MoSPI)	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Migration challenge = exploitation/informal sector growth	SSC Stenographer, 08/08/2025 (Sh-03)
Migration push/pull factors (A-R)	SSC Stenographer, 08/08/2025 (Sh-01)
MGNREGA: 100 days, renamed 2009	SSC Phase XIII, 29/07/2025 (Sh-03)
PMJDY launch date, savings account, DBT	SSC PHASE XIII, 26/07/2025 (Sh-01)
PMJDY ministry (Finance), 10-yr milestone	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
Atal Pension Yojana: age 18-40, unorganised sector	SSC CHSL Tier-I, 21/11/2025 (Sh-02); SSC Phase XIII 30/07/2025 (Sh-02)
Stand-Up India: SC/ST + women entrepreneurship	SSC Stenographer, 06/08/2025 (Sh-01); SSC Stenographer 08/08/2025 (Sh-01, distractor)
PM Vishwakarma: ₹500/day stipend, toolkit voucher	SSC CHSL Tier-I, 29/11/2025 (Sh-01)
PM Ujjwala Yojana: BPL women, LPG	SSC Phase XIII, 28/07/2025 (Sh-03); 25/07/2025 (Sh-01)
DAY-NRLM / NRLM: SHGs, rural women empowerment	SSC Phase XIII, 28/07/2025 (Sh-02, x2)
Beti Bachao Beti Padhao: sex ratio/girl-child	SSC Stenographer, 07/08/2025 (Sh-03); SSC Phase XIII 26/07/2025 (Sh-01)
Digital India: launch 1 July 2015, "Power to Empower"	SSC Phase XIII, 29/07/2025 (Sh-01)

A.2 — PYQ-book-only facts

None of the scheme facts above needed sourcing beyond Lucent §7 / the PYQ book's own explanation text for dates already in the raw extraction. The claimed Dec-2025 MGNREGA rename to "Viksit Bharat" and 125-day guarantee (A.3) is PYQ-book-only and NOT carried into the main body as fact, only flagged as a doubt.

A.3 — Doubts carried forward

CPI base-year internal inconsistency (2023-24 vs 2024) from the raw extraction; the unverified Dec-2025 MGNREGA-rename claim above.

A.4 — Deliberately excluded / cross-referenced

The large majority of PYQ bucket "16 Schemes/Missions/Programmes/Initiatives/Portals" (Green Credit Programme, MISHTI, UDAN, Dak Karmayogi, NSWs, e-Sanjeevani, PM-KUSUM, PMFBY, e-NAM, GOBARdhan, PM-PRANAM, Lead Bank Scheme, PLI, PMAY-U, AMRUT, Smart Cities, NHM, PM Gati Shakti, PM MITRA, dozens of others) tests schemes with **no backing in Parmar Ch.5 or Lucent §7** — these

belong to Agriculture (Batch 8), Industry (Batch 7), or a future Static GK "Govt Policies" build, per the raw extraction's own overlap note, and are deliberately not force-fit here.